
CITY OF YREKA
CITY COUNCIL AGENDA MEMORANDUM

TO: Yreka City Council

FROM: Emily Aldrich, Finance Director and Matthew Bray, Public Works Director

PREPARED BY: Emily Aldrich, Finance Director

AGENDA TITLE: Conduct Public Hearing and Adopt a Resolution of the City Council of the City of Yreka approving the Development Impact Fee Reports and Updating the City's Capital Improvement Plan and Development Impact Fee Program

MEETING DATE: November 21, 2023

Recommendation:

Conduct Public Hearing and Adopt Resolution 2023-XX of the City Council of the City of Yreka approving the Development Impact Fee Reports and Updating the City's Capital Improvement Plan and Development Impact Fee Program.

Annual Development Impact Fee Review:

On November 16, 2006, the City Council adopted Ordinance 790 establishing and implementing development impact fees (DIFs) and made it a part of Title 11, Chapter 11.23. This Ordinance was amended twice, by Ordinance 795, and Ordinance 799 for technical amendments and re-titling it Municipal Utility Services, Impact and Connection Fees. Section 11.23.170 of Chapter 11.23 provides for an annual review of the capital improvement plan and an accounting of DIFs received and expended. The last report was made to the Yreka City Council on December 20, 2022.

Based upon Government Code Section 66006(b), development fees must be reviewed annually and may be adjusted by the City Council after a noticed public hearing. The annual report shall include the following items.

1. A brief description of the type of fee collected;
2. The amount of the fee;
3. The beginning and ending balance of each type of fee held by the City;
4. The amount of fees collected and the interest earned;
5. An identification of each public improvement and the amount expended;
6. An identification of the approximate date by which the construction of the public improvement will be complete;
7. A description of each interfund transfer or loan made; and
8. The amount of refunds made (none reported).

As required by the Government Code, this information must be made available to the

public through posting of a draft of this report. Upon the completion of a fifteen day review period, Council will be asked to accept and file the report.

Funds held in reserves, in excess of five or more years are dedicated to specific expenditures contained in the Master Facility Plan and are consistent with the community's goals.

ALTERNATIVES/OPTIONS: This item is presented for review as required by the Government Code to provide information to the public concerning collections and expenditures of Development Impact Fees (AB 1600 Fees). As long as the City maintains these fees, this annual review will be required.

Update of Capital Improvement Plan: Pursuant to the provisions of Government Code Section 66002(b), the capital improvement plan adopted by the City by Resolution 2615 approving the Development Impact Fee Study shall be annually updated at a noticed public hearing.

Discussion:

Council made findings as follows:

1. There is a reasonable relationship between the need for the described public facilities and the impacts of the various types of development, and,
2. there is a reasonable relationship between the fees use and the type of development for which the fee is charged, and
3. the cost estimates set forth in the plans are reasonable cost estimates for constructing these facilities, and that the fees to be generated by new development will not exceed the total of these costs.

The attached Resolution reaffirms these findings.

- Since the last annual report submitted to and approved by City Council on December 20, 2022.
- Changes to the capital improvements plan are noted in the report, particular to the needs of the water and wastewater systems and fire capital needs.
- Neither General Plan designations nor growth projections in the City have materially changed in the last year; however, the City is in the process of updating its general plan and expects significant growth over the next 20 years to be addressed as a horizon issue.
- The remainder of the public facilities identified in the Development Impact Fee Report are still required to serve the needs which will be created by new development in the City.
- A relationship between the need for such public facilities, the amount of fees necessary to fund development of such facilities, and the impacts of development for which the fees are charged has remained unchanged from when these programs were adopted.

- There have been duly authorized index adjustments of the cost of the public improvements and the fee amounts made pursuant to YMC Section 11.23.180.
- Gov Code Section 66006(b), which requires the Annual Review report of AB 1600 fees be made within 180 days after the last day of each fiscal year and that it be reviewed by the City Council **at the next regularly scheduled public meeting not less than 15 days** after the information is made available to the public. The update of the capital improvement plan can be by resolution, but must occur at a noticed public hearing (one newspaper publication of the notice 10 days prior to the public hearing.) Gov. Code Section 66002. The update of the capital improvement plan and approval of the DIF fees report can occur at the same time. Legal notices were published for public hearing on Wednesday November 1, 2023, in the Siskiyou Daily News for the Capital Improvement Plan review update.

Financial:

- Collection of Development Impact Fees provides revenue necessary for the City ultimately to fund the construction of the public improvements contained in the City's adopted Capital Improvement Plan.
- Interfund transfers between fee accounts may be made during the next review period for the purposes of funding the construction and or debt servicing of the improvements discussed in this report.
- Discussion and direction to staff topics bring back to the Council at a future meeting several horizon issues related to the expected growth, updates to the general plan, the development and update impact fees for planning, stormwater, streets, and facilities.

ATTACHMENTS:

Attachment 1: Original AB 1600 Development Fee Project Improvements by Impact;
 Attachment 2: Description of AB 1600 Development Fee Types;
 Attachment 3: Schedule of AB 1600 Development Fee Collections and Disbursements
 Attachment 4: Resolution Of The City Council Of The City Of Yreka Updating The City's Capital Improvement Plan And Development Impact Fee Program.

Attachment 1

City of Yreka

Original Schedule of Developer Impact Fee Improvements by Impact

2006 Original Fees*	Fee Per Unit/Due	2023 Fees
4.1 City Buildings	\$792	\$1,350
4.2 Park Facilities	\$1,821	\$3,104
4.3 Police Department	\$683	\$1,164
4.4 Fire Department	\$35	
Amended to \$2.03 sq ft in 2023		(2)
4.5 Storm Drainage	\$99	\$169
4.6 Street Improvements	\$539	\$919
4.7 Wastewater System	\$1,486	\$9,280 (1)
4.8 Water System	\$5,132	\$4,190 (1)
Totals	\$10,587	\$20,176

* Original Fee does not include annual ENR CCCI, indexed cost reflects ENR cost escalation since 2006.

(1) Reflect PACE Engineering's analysis of DIF for Water & Waster Systems in 2022

(2) Reflects PFG Fire DIF Study February 2023

Table 4.1-1				
City Buildings				
Item	Sq. Ft.	\$ per Sq. Ft	Original	Total
Expanded City Offices	2,000	\$200	\$400,000	\$682,000
Expanded Public Works Building	2,000	\$200	\$400,000	\$682,000
			\$800,000	\$1,364,000

Table 4.2-1			
Basic Neighborhood Park Average Cost Estimate			
Item	Unit	Org. Cost	Curr. Cost
Acquisition (1)	5 acres	\$300,000	\$511,500
Right of Way Improvements			
Curb, Gutter, Sidewalk	467 lineal ft.	\$21,015	\$35,831
Parking Lane, One Travel Lane --	217,800 square ft.	\$871,200	\$1,485,396
Landscaping	217,800 square ft.	\$217,800	\$371,349
Irrigation	217,800 square ft.	\$217,800	\$371,349
Parking Area	15,000 square ft.	\$60,000	\$102,300
Restrooms	1 each	\$150,000	\$255,750
Play Equipment	1 each	\$45,000	\$76,725
Ball Field	1 each	\$25,000	\$42,625
Soccer Field	1 each	\$10,000	\$17,050
Benches/Bike Racks	6 each	\$3,000	\$5,115
Garbage Cans	6 each	\$1,200	\$2,046
Lighting (security)	6 each	\$9,000	\$15,345
Sidewalks/Paths (miscellaneous)	140 lineal ft.	\$3,500	\$5,968
Total		\$1,934,515	\$3,298,348

(1) Acquisition of parcel on West street to "square" out Miner Street Park \$81,114 (prorated to growth)

Attachment 1
continued

Table 4.3-1				
Police Department Needs (in progress 0 see note below)			Org. Study	Current
Item	Sq. Ft.	\$ per Sq. Ft.		
Expanded Police Blding + Parking Area	2760	200	\$552,000	
Secure outdoor area at \$50 per sq. ft.	2760	50	\$138,000	
New Police Building (Fairlane - 40 yr Debt Servicing 2019)				\$1,176,450
Total			\$690,000	\$1,176,450

The City has acquired the building for a new Police Station. Current and future DIF fees collected will be applied to the debt servicing reserves for facility reconstruction completion expected in 2018-19.

Table 4.4-1				
Fire Department Needs			Original	Current
Item				
Fire Services Report (Operations and Facilities)		\$35,000		
Development Impact Study update (finalized Feb 2023)			\$7,500	
2023 Pacific Finance Group Impact Fee Study (suppl. 4) \$2.03/sq ft			\$786,075	\$786,075
Total			\$35,000	\$793,575
				\$786,075

*Square footage from growth is estimated to be 394,586, sq ft for a combined sq ft citywide of 8,500,064, or 4.64% (\$786,075) of anticipated fire improvements of \$16,933,400 should be covered by growth.

Storm Drainage Needs 4.5			Total	
	Original		Current	
Item				Total
Master Planning for Growth	\$	100,000	\$	170,500
Total		\$100,000		\$ 170,500

*In process, City has entered into an agreement with NEC for master planning report.

Table 4.6-1				
Intersection Improvements			Totals	
			Original	Current
Traffic Signal SR 3 & SR 263			\$225,000	\$383,625
Traffic Signal Upgrade at SR 3 & Moonlit Oaks			\$90,000	\$153,450
Additional Backhoe (acquired, non DIF funding 2008-09)			\$80,000	
Intersection Improvements at Miner and Oregon			\$150,000	\$255,750
Total			\$545,000	\$792,825

Table 4.7-2		General Plan Growth	
Wastewater System Improvements		Total	
	Ultimate	Original	Current
Vacuum Truck (acquired 2009-10)		\$450,000	
Office At Plant w/ secure storage		\$400,000	\$682,000
Collection System Upgrades (completed)*	\$829,000	\$554,000	
2022 PACE Engineering Development Impact Fee Study (suppl. 3)		\$3,767,000	\$4,083,428
Totals	\$829,000	\$5,171,000	\$4,765,428
* Collection System Upgrades are being financed by a loan from USDA Certificate of Participation 2012, Wastewater System Improvements Project. Over time that portion attributable to developer fees based on actual costs will be paid for debt servicing on the loan over the next 40 years.			

Table 4.8-2		General Plan Growth	
Water System Improvements*		Totals	
		Original	Current
New Filter Control Panel (USDA COP 2010 completed)		\$75,000	
Additional Booster Pump (USDA COP2010 completed)		\$170,000	
Stage 1 Water Treatment Plant Booster Pump Station (USDA COP2010)		\$1,100,000	
Add Two Filters to Water Treatment Plant (USDA COP2010 completed)		\$600,000	
Zone 2 – 2.0 MG Storage Tank (USDA COP 2010 completed)		\$1,660,000	
Zone 1 Supply Improvements from Foothill Dr. (USDA COP2010 complete)		\$662,000	
Upgrade State Street Pumps (Improvement made 2009-10, not DIF fundi		\$63,000	
Replacement Main in Hwy 3		\$560,000	
Replacement Main from Deer Creek Way to Main		\$144,000	TBD
Alternate Water Source Study		\$150,000	\$250,000
2022 PACE Engineering Development Impact Fee Study (supplemental 2)		\$8,086,000	\$8,765,224
Totals		\$5,121,000	\$250,000
* Most of the original improvements listed above are being financed by a loan from USDA Certificate of Participation 2010, Water System Improvements Project. Over time that portion attributable to developer fees based on actual costs will be paid for debt servicing on the loan over the next 40 years, in 2013-14 fees collected were transferred to the debt servicing account (Fund 72). In 2022, City commenced construction for Water Main replacements relating to Highway 3 improvements, and will be utilizing both grant and fee revenues sources for improvements. Project cost is approximately \$4.5 million.			

2023 ENR SF Bay Area CCI Growth 8.4%

SINGLE FAMILY & MULTIPLE FAMILY DWELLING WORKSHEET

City of Yreka Municipal Utility Services, Impact, & Connection Fees

Fee Calculation Worksheet

Property Address: _____

Assesor's Parcel Number: _____

A. Public Facilities Impact Fee	Base Fee \$2,514.58
Base rate is multiplied by dwelling unit	

B. Citywide Streets Impact Fee	\$918.89
Base rate is multiplied by dwelling unit	

C. Park and Recreation Impact Fee	\$3,104.46
Base rate is multiplied by dwelling unit	

D. Storm Drainage Impact Fee	\$168.79
Base rate is multiplied by dwelling unit	

E. Fire Mitigation Fee	\$2.03 per sq. ft.
Base rate is multiplied by square footage of dwelling unit	

F. Water System Impact Fee *	\$9,271.89
Base fee multiplied by household equivalent ratio from chart.	

G. Wastewater Collection System Impact Fee *	\$4,189.52
Base fee multiplied by household equivalent ratio from chart.	

H. Wastewater Treatment System Impact Fee*	\$6,439.61
Base fee multiplied by household equivalent ratio from chart.	

* Water and Wastewater Fees (E. F. & G. above) - Multiply the base fee for each premises times the Household Equivalent ratio (from chart below) based on the meter size, or if no meter is installed the water service pipe size.

1	5/8"
1	3/4" single-family residential home with approved fire sprinkler system
1	1" single-family residential home with approved fire sprinkler system
1.5	3/4"
2.5	1 inch
5	1.5 inch
8	2 inch
16	3 inch
25	4 inch
50	6 inch
80	8 inch

Exemptions (See YMC 11.23.130)
a. Alteration/renovation/expansion of residential building where no additional dwelling units are created.
b. Expansion of commercial/industrial structure which is less than 50% of the square footage of the existing structures.
c. Accessory building with no extra vehicle trips.
d. Replacement structure, same size, within 3 years.
e. Replacement mobile home.
f. Fees pursuant to an Encroachment Permit will be charged for applicable connections only.

1. List the building size (sq. ft.) and # of units next to the type of proposed structure:

Single family residence	sq. ft.	# of units
Multi-family residence	sq. ft.	# of units

2. Water Meter Size or if no meter, water service pipe size:

_____ see household equivalent ratio chart

3. Fees Due:

A. Public Facilities	_____
B. Streets	_____
C. Park and Recreation	_____
D. Storm Drainage	_____
E. Fire Mitigation Fee	_____
F. Water *	_____
G. Wastewater *	_____
H. Wastewater Treatment*	_____
Amount Due (Total of A-H)	_____

Permit Application Date: _____

Name of Applicant: _____

Signature: _____

Impact fees are payable prior to issuance of building permit, encroachment permit, mobile home permit & installation of water meter. Customer is subject to water meter device cost if installed by city.

COMMERCIAL, OFFICE/GENERAL & INDUSTRIAL WORKSHEET

City of Yreka Municipal Utility Services, Impact, & Connection Fees

Fee Calculation Worksheet

Property Address: _____

Assessor's Parcel Number: _____

Base Fee

A. Public Facilities Impact Fee	\$2,514.58
Base rate for Commercial/Office/Industrial is per 1,000 sq. ft.	

B. Citywide Streets Impact Fee	\$918.89
Base rate for Commercial/Office is per 2,500 sq. ft.	
Base rate for Industrial is per 5,000 sq. ft.	

C. Storm Drainage Impact Fee	\$168.79
Base rate for Commercial/Office/Industrial is multiplied by unit	

D. Fire Mitigation Fee	\$2.03 per sq. ft.
Base rate is multiplied by square footage of unit	

E. Water System Impact Fee *	\$9,271.89
Base fee multiplied by household equivalent ratio from chart.	

F. Wastewater Collection System Impact Fee *	\$4,189.52
Base fee multiplied by household equivalent ratio from chart.	

G. Wastewater Treatment System Impact Fee*	\$6,439.61
Base fee multiplied by household equivalent ratio from chart.	

* Water and Wastewater Fees (E. F. & G. above) - Multiply the base fee for each premises times the Household Equivalent ratio (from chart below) based on the meter size, or if no meter is installed the water service pipe size.

1	5/8"
1	3/4" single-family residential home with approved fire sprinkler system
1	1" single-family residential home with approved fire sprinkler system
1.5	3/4"
2.5	1 inch
5	1.5 inch
8	2 inch
16	3 inch
25	4 inch
50	6 inch
80	8 inch

Exemptions (See YMC 11.23.130)

- a. Alteration/renovation/expansion of residential building where no additional dwelling units are created.
- b. Expansion of commercial/industrial structure which is less than than 50% of the square footage of the existing structures.
- c. Accessory building with no extra vehicle trips.
- d. Replacement structure, same size, within 3 years.
- e. Replacement mobile home.
- f. Fees pursuant to an Encroachment Permit will be charged for for applicable connections only.

1. List the building size (sq. ft.) and # of units next to the type of proposed structure:

Commercial/Retail	sq. ft.	# of units
Office/General	sq. ft.	# of units
Industrial	sq. ft.	# of units

2. Water Meter Size or if no meter, water service pipe size:

see household equivalent ratio chart

3. Fees Due:

A. Public Facilities	_____
B. Streets	_____
C. Storm Drainage	_____
D. Fire Mitigation Fee	_____
E. Water*	_____
F. Wastewater*	_____
G. Wastewater Treatment *	_____
Amount Due (Total of A-G)	_____

Permit Application Date: _____

Name of Applicant: _____

Signature: _____

Impact fees are payable prior to issuance of building permit, encroachment permit, mobile home permit & installation of water meter. Customer is subject to water meter device cost if installed by city.

Attachment 3
City of Yreka
Utility Services, Impact and Connection Fees
Annual Report

FISCAL YEAR TO DATE 2022-2023

Fee Type	Beginning Balance 7/1/22	Fees Collected	Fees Expended	Deferred Interest	Investment Earnings	Ending Balance 6/30/23
Public Facilities	0.00	4,697.34	4,697.34			0.00 ⁽¹⁾
Streets	90,486.42	1,676.76				92,163.18
Storm Drains	6,806.00	308.00				7,114.00 ⁽²⁾
Parks and Recreation	122,385.20	5,664.72				128,049.92
Fire	-					- ⁽⁵⁾
Water	(0.00)	15,964.72	15,964.72			(0.00) ⁽³⁾
Sewer	(0.00)	4,622.66	4,622.66			(0.00) ⁽⁴⁾
	<u>219,677.62</u>	<u>32,934.20</u>	<u>25,284.72</u>	<u>-</u>	<u>-</u>	<u>227,327.10</u>

(1) Applied to growth related improvements of Police Station Facilities Project (2019 USDA COP).

(2) Applied to growth related improvements to Stormwater Master Plan Update Project (in process).

(3) Applied to growth related improvements of FC Water Improvement Project (2010 USDA COP).

(4) Applied to growth related improvements of Wastewater Improvement Project (2012 USDA COP).

(5) Applied to growth related improvements of Fire Facilities Project (2023) (Planning & Design Phase).

RESOLUTION NO. 2023-XX
A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF YREKA
APPROVING THE DEVELOPMENT IMPACT FEE REPORT
AND UPDATING THE CITY'S CAPITAL IMPROVEMENT PLAN
AND DEVELOPMENT IMPACT FEE PROGRAM

WHEREAS, the City Council adopted Ordinance No. 790 and 799, which implemented the City's Development Impact Fee program, and, which established the level of Development Impact Fees; and

WHEREAS, annually the City Council approves a Capital Improvement Plan for the construction of public facilities in the City as described in the City's Developer Impact Fee Study last updated December 21, 2022 Resolution 2022-58;

WHEREAS, Yreka Municipal Code Section 11.23.170 provides for an annual review of the Capital Improvement Plan, and provides for an annual review of both the City's Development Impact Fee Program and the balance of funds currently maintained in the City's various Development Impact Fee accounts; and

WHEREAS, the documents reflecting the balance in each Development Impact Fee account, the fee, interest, and income and the amount of expenditure by public facility, and the amount of refunds made for the fiscal year have been available for public review as required by law; and

WHEREAS, the City desires to review the annual reports regarding these Development Impact Fees; and

WHEREAS, the description of each such fee, its amount and various information required by Gov. Code 66006(b)(1) is attached to the staff report associated with this Resolution and is hereby incorporated by reference, as required by Gov. Code §66006(b)(1); and

WHEREAS, Gov. Code §66002(b) of the Mitigation Fee Act requires the local agency to update the Capital Improvement Program annually, in order to show the improvements to be funded by the program; and

WHEREAS, pursuant to Gov. Code §§66002(b) and 65090, the Yreka City Council noticed a public hearing regarding the updating of the City of Yreka Capital Improvement Program and approving the Annual Development Impact Fee to be held on December 20, 2022 and all interested persons were heard; and

WHEREAS, the annual reports have been made available to the public at least 15 days prior to the public meeting, and a Notice of Hearing was published at least ten days prior to the public hearing in a newspaper of general circulation; and

WHEREAS, the City Council has reviewed the annual report; and

WHEREAS, the City of Yreka rolling five-year Capital Improvement Program indicates the approximate location, size, time of availability and cost estimates for all facilities and improvements that will be financed with those fees that are levied by the City on new developments in order to fund public capital improvements necessitated by such development.

NOW, THEREFORE, it is hereby resolved by the City Council of the City of Yreka, California, as follows:

The City Council has received and reviewed the City's Capital Improvement Plan as set forth in the Developer Impact Fee Study with the additions identified and attached to this Resolution and made a part hereof by this reference is it hereby updated.

The City Council has received, reviewed and accepts the annual reports containing the information required by Gov. Code §66606(b)(1).

The City Manager is hereby authorized to initiate any loans between fee accounts that may be necessary during the next review period for the purpose of funding the construction of the improvements discussed in the Annual Review Report.

Adopted this 21st day of November 2023, by the following called vote:

AYES:

NOES:

ABSENT:

ABSTAIN:

Corey Middleton, Mayor

Attest:

Cyndy Prohaska, City
Clerk

**NOTICE OF PUBLIC HEARING
AND
NOTICE OF AVAILABILITY OF
ANNUAL DEVELOPMENT IMPACT FEE REVIEW
AND UPDATE OF CAPITAL IMPROVEMENT PLAN REPORT**

The Yreka City Council will hold a public hearing at 6:30 p.m., Tuesday, November 21, 2023, in the Council Chambers, 701 Fourth Street, Yreka, California, and by teleconference Conference call in Number: 669-900-6833 (Toll-Free 888 788 0099) Meeting ID# 619-495-7056 on the following matter:

**RESOLUTION OF THE CITY COUNCIL FOR THE CITY OF YREKA
APPROVING THE ANNUAL DEVELOPMENT IMPACT FEE REPORT
AND UPDATING THE CITY'S CAPITAL IMPROVEMENT PLAN AND
DEVELOPMENT IMPACT FEE PROGRAM**

The Annual Development Impact Fee Review and Update of Capital Improvement Plan Report is on file in City Hall for public review. All interested persons are invited to attend the meeting and to participate in the public hearing or deliver written comments regarding the Report on or before 4:00 PM, Tuesday, November 21, 2023, to the following address:

YREKA CITY COUNCIL, 701 Fourth Street, Yreka, CA 96097.

Pursuant to Government Code Section 66002 a local agency which levies a fee subject to Section 66001 of the Government Code shall annual update the capital improvement plan by resolution of the local agency adopted at a noticed public hearing. Pursuant to Government Code Section 66006, a local agency which levies a fee subject to Section 66001 shall within 180 days after the last day of each fiscal year make available to the public a report providing the information set forth in Section 66006(b)(1) and shall review that information at the next regularly scheduled public hearing not less than 15 days after the information has been made available to the public.

Emily Aldrich
Finance Director
City of Yreka

October 24, 2023